



Time: 4 minutes

Outcome: Analyze substitution, quality, and new-goods bias.

Difficulty: Intermediate

CPI Bias

THE CORE IDEA

A fixed-basket index can overstate growth in the cost of maintaining a living standard when buyers substitute toward relatively cheaper goods. Quality improvements and new goods also complicate price comparisons. These issues distinguish a change in posted prices from a change in the cost of obtaining comparable benefits.

HOW TO RECOGNIZE IT

- If goods improve in quality, price increases may overstate the rise in the cost of living.
- If consumers substitute, their actual cost of living may rise less than the fixed basket suggests.
- A new product gives consumers a useful option that did not previously exist.
- A product becomes more expensive but also much higher quality.
- A laptop price rises while speed and battery life improve.

WATCH OUT

Do not treat all price increases as inflation even when quality or product variety improves. If goods improve in quality, price increases may overstate the rise in the cost of living.

WORKED EXAMPLE: RECOGNIZING CPI BIAS

A fixed basket contains beef even after beef prices rise sharply. Consumers substitute toward chicken, but the CPI continues pricing the original beef quantity. Because the fixed basket misses that cost-saving response, measured inflation can exceed the increase in the cost of maintaining consumers' actual purchasing pattern.

CHECK YOURSELF

A refrigerator sells for the same price but uses much less electricity and lasts longer. Which CPI issue matters?